

All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

## Section 3.3 — Immigrant and Racialized Seniors: Sponsorship, Residency, and the Working-Years Discrimination Tax

The federal-and-provincial senior architecture documented across Movements One and Two operates against immigrant seniors and against Canadian-born racialized seniors with structural pressures that differ in form and degree from those it produces against the broader population. This Section walks the principal pressure points: the OAS residency tier system, the federal social security agreement framework that mediates international residency, the October 1, 2025 sponsorship-rule change that extends the GIS/Allowance/Allowance for the Survivor exclusion period from 10 years to 20 years for parent-and-grandparent sponsorship, the late-career CPP contribution profile of immigrants who arrived as adults, the documented working-years discrimination effects on Canadian-born racialized workers' lifetime earnings, and the operational reality of navigating the architecture as a non-native English or French speaker.

### The 40-year residency requirement and the partial-pension formula

OAS pays the maximum pension to applicants who have lived in Canada for 40 or more years after age 18. Applicants with 10 to 39 years of Canadian residency receive a partial pension calculated on the formula of years-in-Canada divided by 40, applied to the maximum pension amount. (Source: *Old Age Security Act, R.S.C. 1985, c. O-9, sections 3-4*; *Service Canada — Old Age Security: Do you qualify, 2026*.) An applicant who has lived in Canada for 20 years receives  $20/40 = 50\%$  of the maximum pension. An applicant with 15 years of Canadian residency receives  $15/40 = 37.5\%$ .

For immigrants who arrived in Canada as adults, the partial-pension formula produces materially smaller OAS payments at age 65. An immigrant who arrived at age 35 has 30 years of residency at age 65, qualifying for  $30/40 = 75\%$  of the maximum OAS — approximately \$557 per month at the Q1 2026 rate, instead of the \$742.31 maximum. An immigrant who arrived at age 50 has 15 years of residency at age 65, qualifying for 37.5% of the maximum — approximately \$278 per month. An immigrant who arrived at age 60 has 5 years of residency at age 65, falling below the 10-year minimum, and may qualify for OAS only through a social security agreement or not at all.

The structural feature is that the partial-pension formula does not consider the immigrant's contributions to other countries' pension systems before arrival. Where Canada has a social security agreement with the country of origin, those years of foreign residency or contribution may count toward meeting the 10-year minimum for OAS eligibility (without affecting the payment amount). Where Canada has no such agreement, the foreign years do not count for any purpose.

Canada has social security agreements with more than 50 countries, including the United States, India, China, the Philippines, the United Kingdom, France, Germany, Italy, Mexico, Brazil, and many others. (Source: *Service Canada — International social security agreements, 2026*; *Canada-US Totalization Agreement, Social Security Administration, 2024*.) Canada does not have agreements with all source countries of its immigrant population. Senior immigrants from countries without agreements may face full ineligibility if they cannot meet the 10-year Canadian-residency minimum, or partial eligibility at the lowest end of the formula.

### The October 1, 2025 sponsorship-period extension

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The Old Age Security Act, since 1996, has prohibited the payment of OAS income-tested benefits — the Guaranteed Income Supplement, the Allowance, and the Allowance for the Survivor — to sponsored immigrants who have less than 10 years of Canadian residency. (Source: *Old Age Security Act, sections 19-21; Canada Gazette, Part 2, Volume 159, Number 6: Order Fixing October 1, 2025, March 12, 2025.*) The rationale is that the sponsor has committed, in the sponsorship undertaking, to meet the financial needs of the sponsored individual for the sponsorship period.

In January 2014, the Immigration and Refugee Protection Regulations were amended to extend the parent-and-grandparent (PGP) sponsorship period from 10 years to 20 years in all provinces except Quebec. The Old Age Security Act was amended in 2014 to align the OAS income-tested benefit exclusion period with the new 20-year sponsorship duration. The amendments were enacted in legislation but not brought into force until October 1, 2025, when the Order Fixing October 1, 2025 made the 2014 OAS Act amendments operational. (Source: *Canada Gazette, Part 2, Volume 159, Number 6, March 12, 2025; Economic Action Plan 2014 Act, No. 1, S.C. 2014, c. 20, Division 27.*)

The operational effect, as of October 1, 2025, is that sponsored immigrants under 20-year PGP sponsorship are excluded from GIS, the Allowance, and the Allowance for the Survivor for the full 20-year sponsorship period — not the previous 10-year period. The first cohort of sponsored seniors landing under the 20-year PGP framework arrived in Canada in 2016. They became eligible for the basic OAS pension in 2026, after meeting the 10-year residency requirement. Their eligibility for the income-tested supplements — GIS, the Allowance, the Allowance for the Survivor — is now deferred until 2036, when their 20-year sponsorship period concludes.

The structural impact on the sponsored senior is significant. The basic OAS pension at the partial rate (typically 10/40 to 15/40 of the maximum) is approximately \$186 to \$278 per month at Q1 2026 rates. Without GIS, the sponsored senior's federal income alone is well below the cost of living for a single person in any Canadian city. The senior is dependent on the sponsor (typically an adult child or grandchild) for the difference between their federal income and their cost of living. The dependency relationship, structurally encoded in the sponsorship undertaking, extends across the full 20-year period.

The sponsor's own financial circumstances may change across 20 years. Job loss, divorce, illness, or death of the sponsor produces structural exposure for the sponsored senior. The OAS Act contains protective provisions that allow the sponsored senior to claim income-tested benefits in cases of sponsorship breakdown — sponsor death, sponsor incarceration of more than six months, sponsor bankruptcy, sponsor conviction for an offence relating to the sponsored person. (Source: *Canada Gazette, Part 2, Volume 159, Number 6, March 12, 2025.*) These protections require the sponsored senior to navigate the formal documentation of sponsorship breakdown, with Service Canada adjudication of the breakdown claim. The protections exist. The protections require active claim-making by the sponsored senior to engage them.

### **The CPP contribution profile of late-career immigrants**

The Canada Pension Plan retirement formula is calculated against the worker's contribution history from age 18 (or the start of CPP-pensionable employment in Canada) to the year of CPP application or age 65, whichever is earlier. (Source: *Canada Pension Plan Act, R.S.C. 1985, c. C-8, sections 44-50.*) An immigrant who arrived in Canada at age 35 and worked continuously to age 65 has 30 years of CPP-eligible employment. The general dropout provision excluding the lowest-earning 8 years applies, leaving 22 years

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in the calculation. The formula's 25 per cent (now phasing toward 33 per cent) replacement rate is applied to the average of those years' pensionable earnings. For an immigrant who earned at or below the YMPE in early Canadian career and approached YMPE in later career, the calculated CPP retirement pension is materially below the 30+-year-average comparator.

For an immigrant who arrived at age 50, only 15 years of CPP-eligible employment are available. The dropout reduces this further. The CPP retirement pension is calculated against this short contribution history and is correspondingly small.

For an immigrant who arrived at age 60, the available CPP-eligible employment period is 5 years. CPP-D and other contributory benefits may not be available given the four-of-six contribution rule (which requires recent CPP contributions). CPP retirement at age 65 is calculated against the 5-year contribution history, producing a pension in the low double-digit dollars per month range for many late-career immigrants — sometimes effectively zero after the formula's calculation against averaged earnings.

The structural problem for late-career immigrants is that the senior architecture presumes a 40-year working life of CPP contributions. The immigrant who arrived in Canada in mid-life or later did not have 40 years to contribute. The CPP retirement pension reflects only the Canadian portion of their working life. The pension contributions they may have made to their country of origin's social security system, where applicable, may produce a pension from that country (with its own rules, payment mechanisms, and currency exposure). The combined Canadian-and-foreign retirement income is what the late-career immigrant senior actually receives.

### **Working-years discrimination and the racialized senior population**

For Canadian-born racialized seniors and for immigrants who have been in Canada through most of their working life, the principal CPP-affecting structural pressure is workplace discrimination. The documentation of employment discrimination against Black, Asian, South Asian, Indigenous, and other racialized Canadians across the working-life decades of today's senior cohort is substantial. (*Source: Canadian Centre for Diversity and Inclusion — Annual Workforce Discrimination Reports, 2018-2024; Statistics Canada — Earnings differentials of racialized Canadians, multiple reference periods; Canadian Race Relations Foundation — Employment Discrimination in Canada reports, 2020-2025.*)

The documented effects include lower lifetime earnings, slower promotion trajectories, exclusion from certain occupational categories, concentration in lower-paying sectors, higher unemployment rates, and longer periods of unemployment between jobs. Each of these effects translates directly into the CPP contribution history. The cumulative effect is a CPP retirement pension that is smaller than would have been the case for the same individual without the discrimination history.

The 2025 National Advisory Council on Poverty report identifies that Black and racialized individuals, Indigenous people, newcomers, 2SLGBTQIA+ individuals, people with disabilities, and seniors all face systemic barriers in housing, employment, education, and access to services that make them more vulnerable to poverty. (*Source: National Advisory Council on Poverty — 2025 Annual Report, Government of Canada.*) For racialized seniors specifically, the cumulative barrier across the working years compounds at the senior stage. The 2024 Canadian Income Survey identifies recent immigrants aged 15 and older as having a poverty rate of 15.3 per cent in 2023, compared with 11.0 per cent in the broader population. (*Source: Statistics Canada — Canadian Income Survey 2024, released April 2026.*) Disaggregated rates for

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racialized seniors specifically are reported intermittently across federal sources; the patterns are consistent with the broader documentation.

### **Documentation and language barriers in the benefit-application process**

The federal and provincial senior-benefit application processes are conducted in English and French, with translated materials available for some programs and some languages but not uniformly across the inventory. (Source: Service Canada — *Multilingual services page*, 2026; Government of Alberta — *Alberta Supports multilingual services*, 2026.) Application forms, eligibility-criteria documentation, appeal procedures, and ongoing recipient communications presume functional literacy in English or French.

The senior immigrant who arrived in Canada in mid-life or later, whose primary language remains the language of origin, navigates the application process through one of several mechanisms: with the assistance of a family member (typically an adult child) acting as translator, with the assistance of a community-based settlement organization where one is available, with paid translation services, or — where none of these is accessible — by attempting the process in a language they have limited functional capacity in. Each of these mechanisms produces friction, error rates, and delay.

The 2025 National Advisory Council on Poverty report identifies that "complex programs, unclear application processes, inconsistent rules and rigid eligibility criteria" produce barriers to support access for marginalized populations including newcomers, with "the requirement to file taxes as an eligibility criterion, accessibility challenges and digital exclusion" further limiting access. (Source: *National Advisory Council on Poverty — 2025 Annual Report*.) For the senior immigrant with limited English or French and limited digital fluency, the cumulative friction of navigating federal OAS plus provincial Alberta Seniors Benefit plus provincial Coverage for Seniors plus federal NIHB (where applicable) plus other supports produces documented under-use. Eligible seniors do not access benefits they qualify for. The unclaimed-GIS phenomenon — hundreds of thousands of eligible Canadian seniors not receiving GIS because they did not apply or did not know they qualified — is documented across Canadian senior-policy literature and disproportionately affects immigrant and racialized senior populations. (Source: *Government of Canada — Take-Up of Old Age Security and Guaranteed Income Supplement Benefits report*; *National Institute on Ageing — Senior Benefit Take-Up reports, 2022-2024*.)

### **The cohabitation-rule and multi-generational household interaction**

The AISH cohabitation rule documented in Section 1.5 and the GIS partnership-penalty mechanism documented in Sections 2.4 and 2.7 operate, by design, on the household configuration the recipient lives in. For immigrant senior populations whose family-structure norms include multi-generational households more frequently than in the comparator population — three-generation households with grandparents, adult children, and grandchildren under one roof, or multi-family-unit residences shared across extended family — the household-configuration assumption may produce administrative complications.

A senior whose primary income is OAS-and-GIS, living in a household with adult children whose income exceeds the GIS partner-income threshold, is not directly affected by the partner-income calculation if the senior is not married to or in a common-law relationship with anyone in the household. Adult children are not treated as common-law partners for OAS-and-GIS purposes. The administrative friction occurs when Service Canada adjudication encounters non-standard household configurations and requests additional documentation to confirm relationship structures. The senior who lives with adult children, grandchildren,

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siblings, or other extended family members may be asked to provide documentation that a senior in a single-person household or two-person spousal household would not be asked for.

The 2014 IRPR amendments and the October 2025 OAS Act sponsorship-extension produce a related pressure. The adult child sponsoring a parent or grandparent under the 20-year PGP framework has accepted the financial responsibility for the sponsored individual for that full period. The sponsor's own household income may include earnings, dividends, capital gains, and other income components that are not the sponsored senior's income but that may be examined in some adjudication contexts. The interaction between the sponsorship undertaking and the federal benefit-eligibility framework produces administrative complexity that the sponsoring family must navigate.

### **The lifecycle observation**

The senior architecture documented across Movements One and Two operates on assumptions about working life — that it occurred in Canada, that it began in the late teens, that it continued for 40 to 47 years — that do not apply to a substantial portion of the immigrant senior population. The architecture also operates on assumptions about household configuration, primary language, and documentation availability that produce structural friction for immigrant and racialized seniors at the application, eligibility, and ongoing-benefit-receipt stages.

The operational consequences are documented: smaller OAS pensions for late-career immigrants under the partial-pension formula; full GIS/Allowance/Allowance for the Survivor exclusion for the 20-year PGP-sponsorship period under the October 2025 rule change; smaller CPP retirement pensions for late-career and discrimination-affected workers; under-use of available benefits due to language and documentation barriers; structural dependency on adult-child sponsors for two decades after arrival; multi-generational-household administrative friction.

The cage that this document names operates against this population with the additional pressure that the architecture's working-life assumptions do not fit, that the language and documentation infrastructure does not match the population's needs, and that the sponsorship structure formally extends adult-child financial responsibility for two decades — a duration during which the sponsor's own circumstances may change in ways the senior architecture does not provide a smooth fallback for.

Section 3.4 turns to the senior caregiver — including the disabled adult who has spent decades caregiving for an aging parent, and the parent-caregiver of a disabled adult who themselves enters long-term care, leaving the disabled adult without their lifelong primary support.